



Fourth-Quarter and Full Year 2023 Results

February 1, 2024

TRANE
TECHNOLOGIES

Forward-Looking Statements

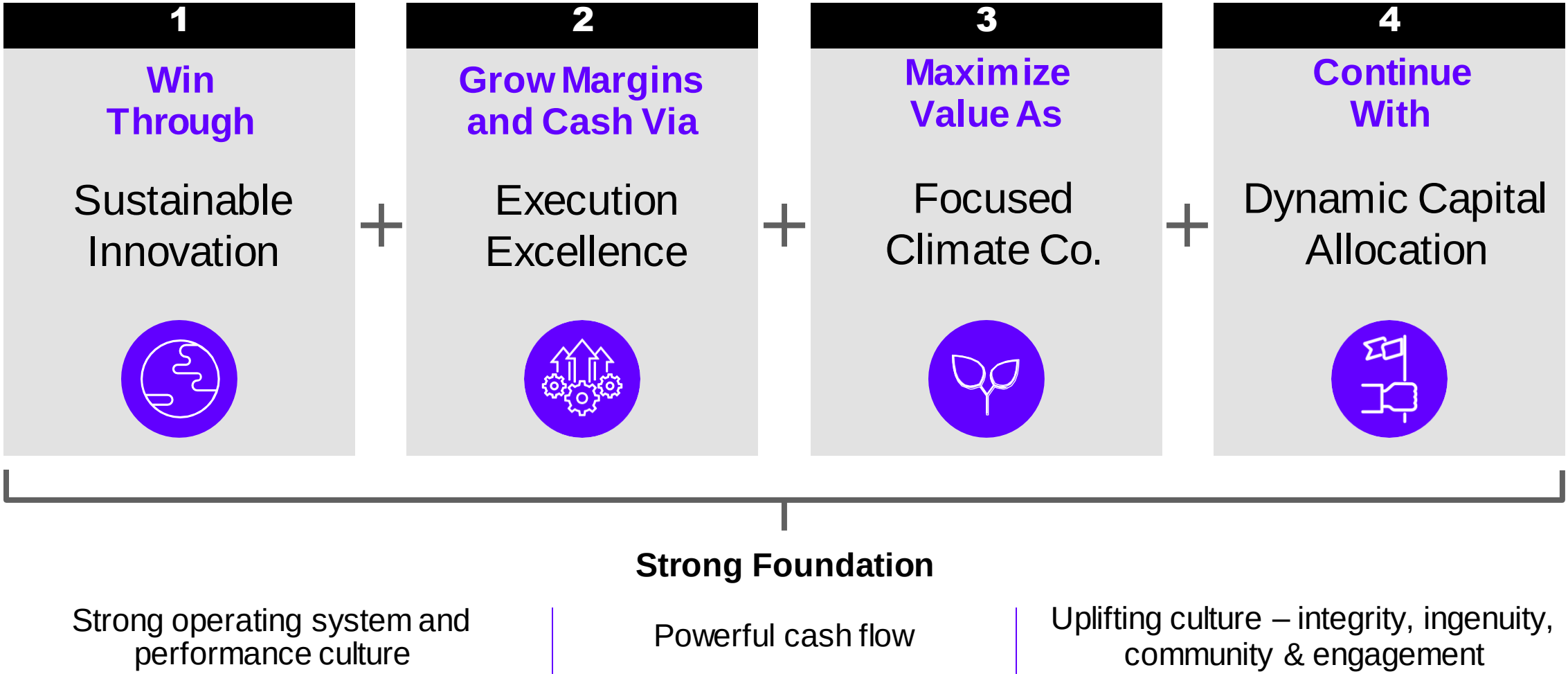
This news release includes “forward-looking” statements within the meaning of securities laws, which are statements that are not historical facts, including statements that relate to our future financial performance and targets, including revenue, EPS, operating income, operation margin and earnings; our business operations; demand for our products and services, including bookings and backlog; capital deployment, including the amount and timing of our dividends, our share repurchase program, and our capital allocation strategy, including M&A activities and investments, if any; our projected free cash flow and usage of such cash; our available liquidity; our anticipated revenue growth, including growth in organic revenue; performance of the markets in which we operate; our foreign exchange rate outlook, our credit rating; our productivity and cost savings initiatives; our ESG and other sustainability initiatives and our effective tax rate.

These forward-looking statements are based on our current expectations and are subject to risks and uncertainties, which may cause actual results to differ materially from our current expectations. Such factors include, but are not limited to, global economic conditions, including recessions and economic downturns, inflation, volatility in interest rates and foreign exchange; changing energy prices; worldwide geopolitical conflict; financial institution disruptions; climate change and our sustainability strategies and goals; future health care emergencies on our business, our suppliers and our customers; commodity shortages; price increases; government regulation; restructurings activity and cost savings associated with such activity; secular trends toward decarbonization, energy efficiency and internal air quality, the outcome of any litigation, including the risks and uncertainties associated with the Chapter 11 proceedings for our deconsolidated subsidiaries Aldrich Pump LLC and Murray Boiler LLC; cybersecurity risks; and tax audits and tax law changes and interpretations.

Additional factors that could cause such differences can be found in our Form 10-K for the year ended December 31, 2022, as well as our subsequent reports on Form 10-Q and other SEC filings. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events and how they may affect the Company. We assume no obligation to update these forward-looking statements.

This news release also includes non-GAAP financial information, which should be considered supplemental to, not a substitute for, or superior to, the financial measure calculated in accordance with GAAP. The definitions of our non-GAAP financial information are included as an appendix in our presentation and reconciliations can be found in our earnings releases for the relevant periods located on our website at www.tranetechnologies.com. Unless otherwise indicated, all data beyond the fourth quarter of 2023 are estimates.

Focused Strategy Delivers Differentiated Shareholder Returns



Strong Execution in 2023; Exceeded Financial Commitments on Top-Line, Bottom-Line and FCF Conversion

	2023 Initial Guidance**	2023 Actual Results*	
Organic Revenue*	+6% to +8%	+9%	✓+
Organic Operating Leverage*	25%+	+36%	✓+
Adj. EPS*	\$8.20 to \$8.50	\$9.04	✓+
Free Cash Flow*	≥ Adj. Net Earnings	103% Adj. Net Earnings	✓+

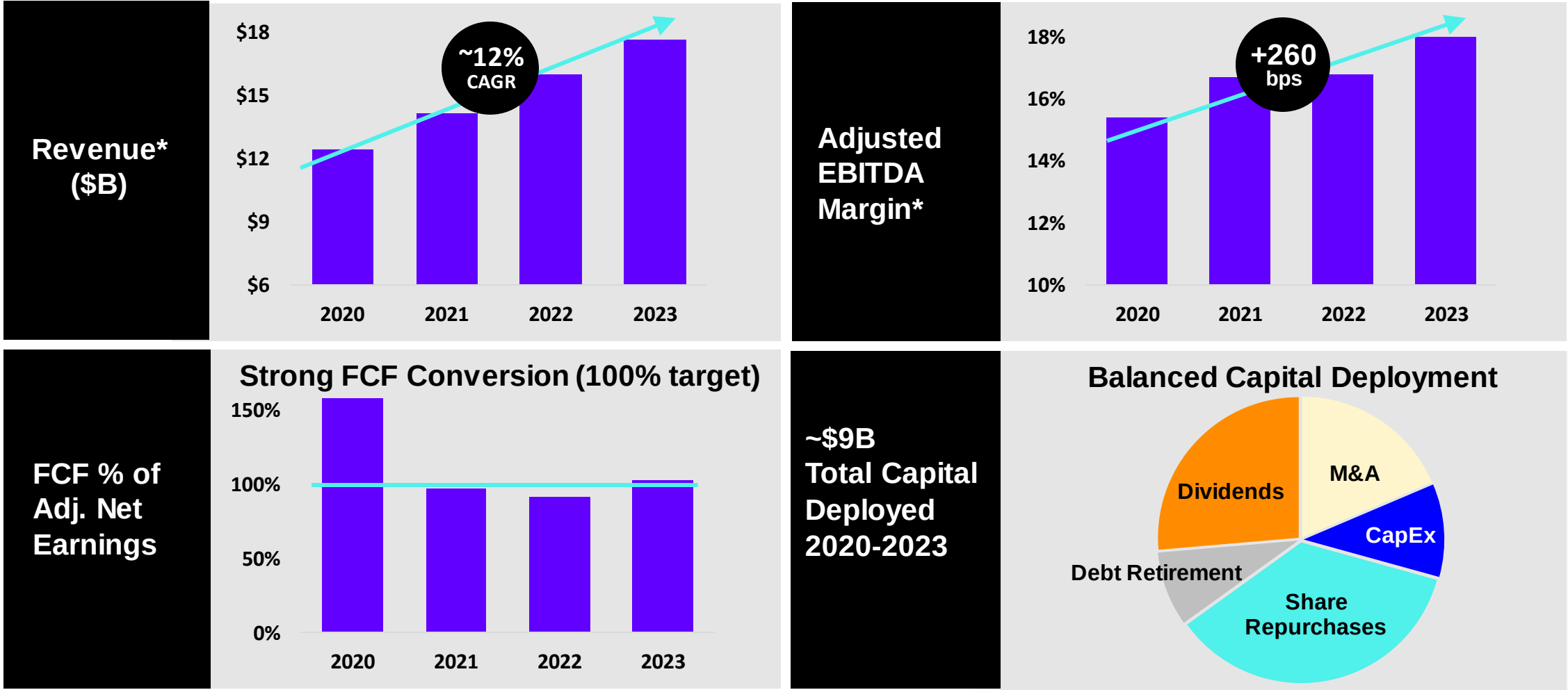


- Robust revenue, market outgrowth and margin expansion
- Strong operating leverage combined with high incremental business reinvestments in segments & corp expenses
- Adj. EPS growth of 23%, top quartile for the third consecutive year
- Powerful free cash flow of ~\$2.2B and free cash flow conversion 103% of Adj. Net Earnings

* Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations.

** Initial 2023 guidance, February 2, 2023

Relentless Investments in Innovation and Growth, People and Culture and Best-in-Class BOS Delivering Consistent Strong Financial Performance



* 2020 historical information restated to reflect Ingersoll Rand Industrial segment in discontinued operations

Purpose Driven Strategy, Best In Class BOS, Uplifting Culture Drive Continued Strong Financial Performance. Positioned for Growth in 2024 with Standout Bookings & Backlog

- **Bookings / backlog remain strong, led by longer cycle, commercial HVAC businesses globally**
 - Q4 CHVAC organic bookings* up mid-teens in Americas and EMEA segments
 - Q4 Americas CHVAC 3-yr stack organic bookings up >50%, led by longer cycle applied equip. - up over 100% - and carrying long svcs tail 8-10X equip revs
 - Strong and growing CHVAC project pipeline globally. Leveraging power of direct salesforce, deep customer relationships and leading innovation to remain agile & deliver differentiated solutions for customers and win across growth verticals
 - Heavily investing in salesforce excellence initiatives in 2023 and 2024 to accelerate growth across key vertical markets / leading products & solutions
- **Strong execution across diversified and resilient global portfolio**
 - Strong growth, margin expansion, adjusted EPS* and Free cash flow*, despite revenue impacts from normalization of Resi and Transport mkts in the Americas
- **Well-positioned for continued growth in 2024**
 - High levels of business reinvestment in 2023 expected to begin yielding dividends in 2024, with majority of impact 2025-2026
 - Record year-end backlog in 2023 of \$6.9B, 2.5X historical norms
 - Backlog ~90% CHVAC, with majority complex, applied systems; bolsters visibility and supports high margin, long-term services tail
- **Balanced capital allocation in 2023. Financial position, liquidity and balance sheet bolster resilience and optionality**
 - Deployed or committed approximately \$2.4 billion in 2023. Expect ~\$2.5B in 2024
 - Free cash flow of 103% of adjusted net earnings* in 2023
- **Initiating strong 2024 revenue and EPS guidance**
 - Organic revenue* growth of +6% to +7%
 - Adjusted EPS of \$10.00 to \$10.30, up 11% to 14% from 2023 (see p.20 for more detail)
 - Executing our high-performance flywheel - strong business reinvestment, market outgrowth, robust earnings and FCF to deliver differentiated financial performance & leading shareholder returns over the long term

*Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations

Exceptional Bookings, Robust Revenue Growth. \$6.9B Backlog at Historic Highs Providing Strong Positioning for Continued Growth Entering 2024

Q4 Organic* Y-O-Y Change

Bookings Revenue

Enterprise	+ 12%	+ 6%
Americas	+ 13%	+ 7%
Commercial HVAC	+	+
Residential HVAC	+	-
Transport	+	-
EMEA	+ 10%	+ 8%
Commercial HVAC	+	+
Transport	flat	+
Asia Pacific	+ 2%	flat
Commercial HVAC	+	flat
Transport	-	+

Americas

- Strong CHVAC bookings, up mid-teens, 3-yr stack up 50%+. Revs up mid-twenties w/ strong growth in equip, up more than 30%, and services up mid-teens
- Resi bookings up HSD. Revs down high-teens, markets continue to normalize
- Robust Transport bookings up low-teens. FY'23 revs modestly lower, down LSD, outperforming mkt, down 5%. 4Q23 revs down appx. 20%, vs tough 4Q'22 comp, up 30%. As expected, mkt downcycle began in Q4, w/ mkt down ~20%, setting stage for modest 2024 mkt decline.

EMEA

- Strong CHVAC bookings up mid-teens; revs up HSD w/ 2 yr-stack revs up more than 50%
- Transport bookings flat as expected. Revs up MSD for Q4 and up LSD 2023; outperforming markets

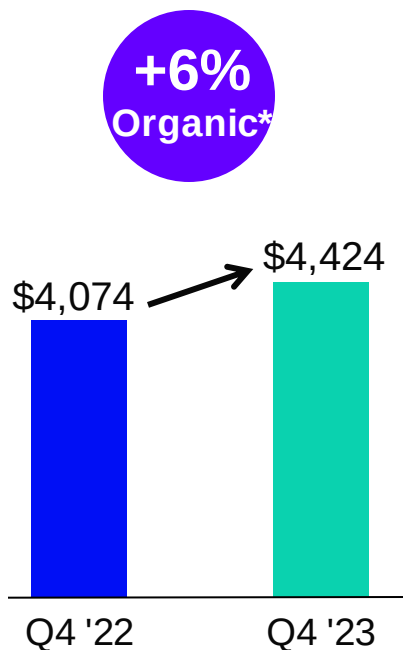
Asia Pacific

- Asia bookings up LSD. Revs flat vs tough 4Q'22 comp, up 19%
- CHVAC bookings up LSD. Revs flat vs tough 4Q'22 comp, up low-twenties
- China bookings down LSD, 2-yr stack up HSD. Revs down MSD vs. up low-teens prior year comp

*Organic bookings and organic revenues exclude acquisitions and currency

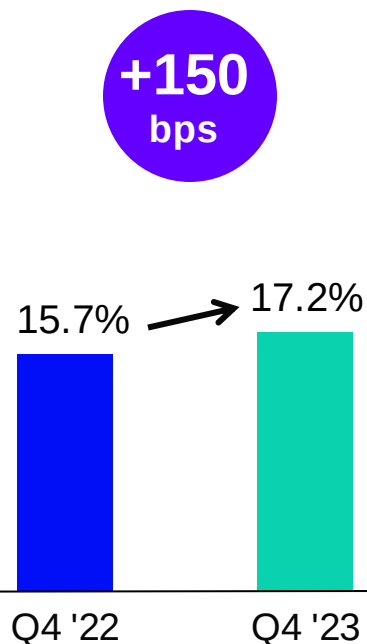
Performance Scoreboard: Robust Revenue Growth, Margin Expansion and EPS Growth

Net Revenue



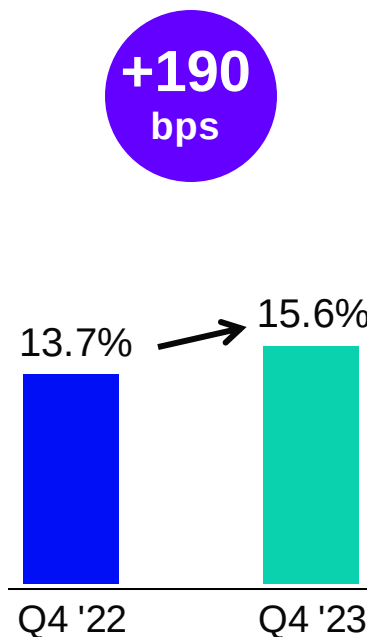
- Strong organic revenue growth
- Equipment revs up low-single-digits, with exceptional CHVAC growth more than offsetting Resi and TK normalization
- Continued strong services growth up low-teens, growth in all regions

Adj. EBITDA Margin*

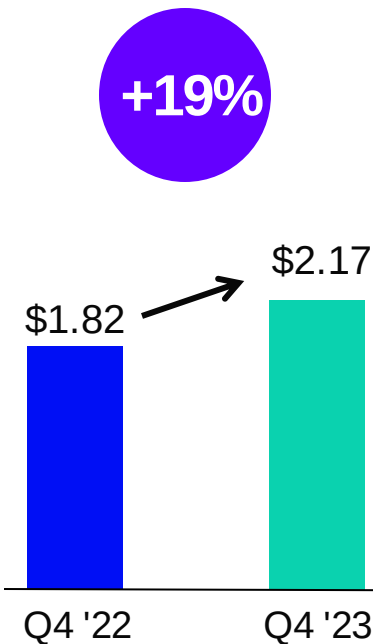


- Strong volume growth, positive price realization and productivity more than offset inflation
- Strong enterprise reported leverage of ~37%

Adj. Operating Margin*



Adj. Continuing EPS*



- Strong execution of company's business operating system driving operational excellence throughout P&L
- Adj. EPS negatively impacted by Argentine FX loss related to devaluation of \$8M, or minus \$0.03

*Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations.

Strong Revenue Growth and Broad-Based Margin Expansion

\$M	Revenue Org.* Growth	Adj. EBITDA*% vs PY	Adj. OI*% vs PY	Highlights
Americas	\$3,390 +7%	18.1% +150 bps	16.6% +200 bps	- Strong broad based margin expansion - Strong volume growth, positive price realization and productivity, more than offset inflation - High incremental business reinvestment in each segment supporting sustainability strategy, innovation and growth initiatives, people and culture
EMEA	\$655 +8%	18.7% +220 bps	17.1% +160 bps	
Asia Pacific	\$379 flat	23.7% +250 bps	22.4% +200 bps	

* Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations.

Continued Strength in CHVAC Globally, Residential Business Normalizing Near-Term, Transport Refrigeration with Modest 2024 Headwinds

Americas	Commercial HVAC • Strong demand for innovative solutions driving robust backlog; data center / education / healthcare / high-tech industrial- all remain strong • Leading systems & services portfolio, direct salesforce, best-in-class execution through BOS; customers' partner of choice for decarb, energy efficiency/healthy spaces Residential HVAC • Normalization process continued in Q4. Expect continued normalization near term, more than offset by strength in CHVAC. Expect return to GDP+ markets over long term, w/ policy and regulatory tailwinds additive. Transport • ACT 2023 markets modestly lower, down 5%, w/ TK modest outperformance • 4Q23 start of cyclical normalization, w/ markets down ~20% & TK down appx. 20% against tough +30% 4Q22 comp • ACT projects relatively modest downturn in 2024 – weighted avg forecast down 10%. Expect TK to outperform with deleverage w/ in GM%. Innovation-led; diversified, resilient portfolio • ACT projects snap back to strong growth in 2025 (+19%)
EMEA	Commercial HVAC • Continued strong demand for innovative, sustainability-focused products and services; accelerating demand for next-gen Thermal Mgmt Systems • Strong decarbonization trends continue led by compelling customer paybacks. Ongoing regulatory and policy tailwinds across the region additive tailwinds Transport • Strong TK performance again in 2023. TK revs up LSD vs. weighted average mkt growth down MSD • Weighted average mkt forecast down LSD in 2024; expect TK to outperform end markets through innovation-led; diversified, resilient portfolio
Asia Pacific	China • Strong order growth up low-teens in 2023; positive outlook for 2024 in dynamic environment; strength in data center, electronics, pharma, healthcare...strong verticals for TT Rest of Asia • Strong order growth up MSD in 2023; strength in data center, fab plants, EV battery

Stacking Effect of Policy and Regulatory Changes Provide Additional Support to Strong Underlying Fundamentals Across Our Businesses Including:
IRA; Education stimulus (ESSER); CHIPS and Science ACT; SEER / refrigerant changes; 2030 EU Climate and Energy Framework

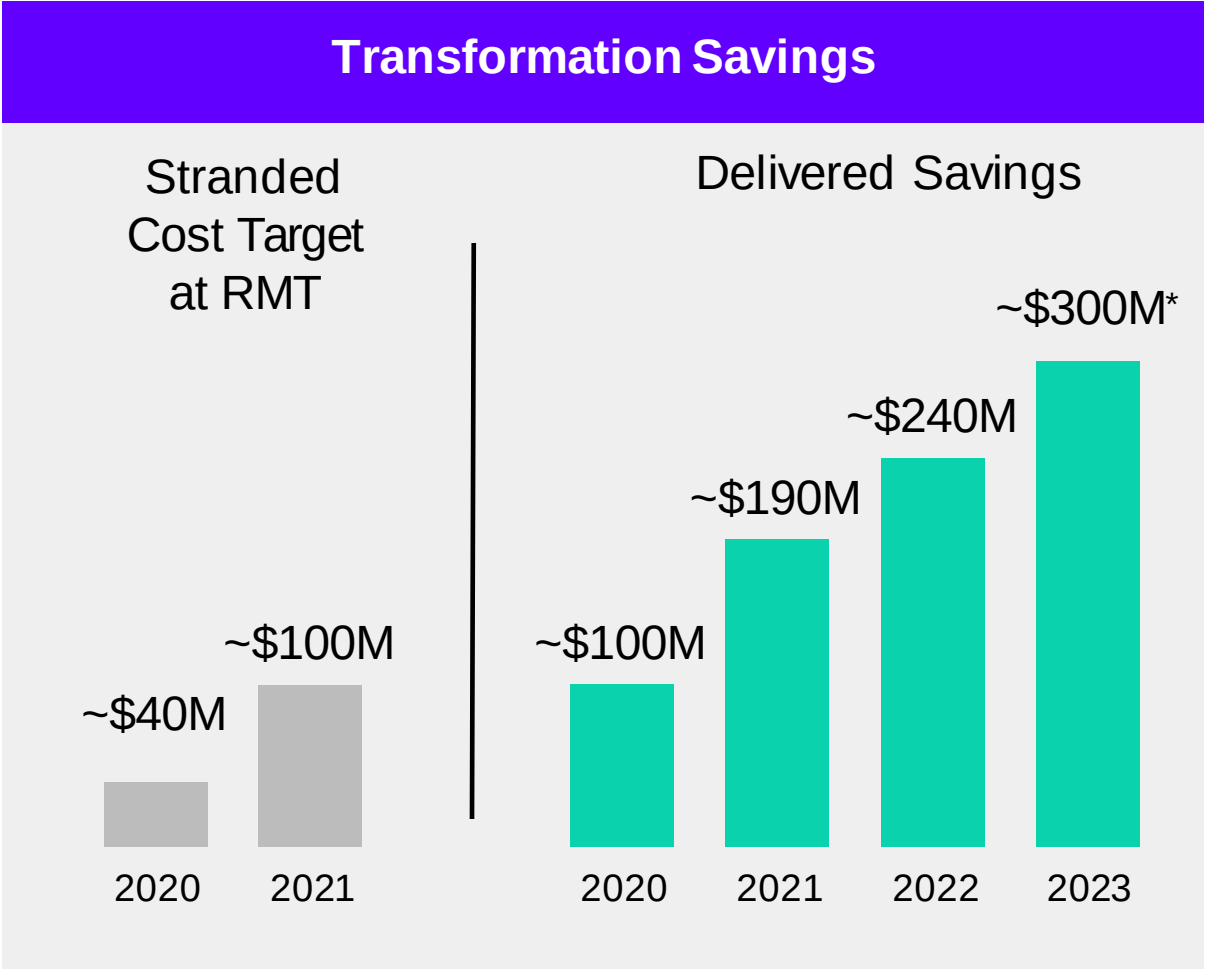
Leveraging Value Creation Flywheel to Drive Strong Revenue, EPS Growth and FCF in 2024

	2024 Guidance
Organic Revenues	+6% to +7% <i>(+7% to +8% reported, incl. M&A)</i> <i>Q1'24 expect ~+7% organic growth</i>
Adj. EPS	\$10.00 to \$10.30 <i>(+11% to +14%)</i> <i>Q1'24 expect ~\$1.60 to \$1.65</i>
Operating Leverage	Organic 25%+ <i>Q1'24 expect ~25%+</i>
Free Cash Flow	≥ Adj. Net Earnings

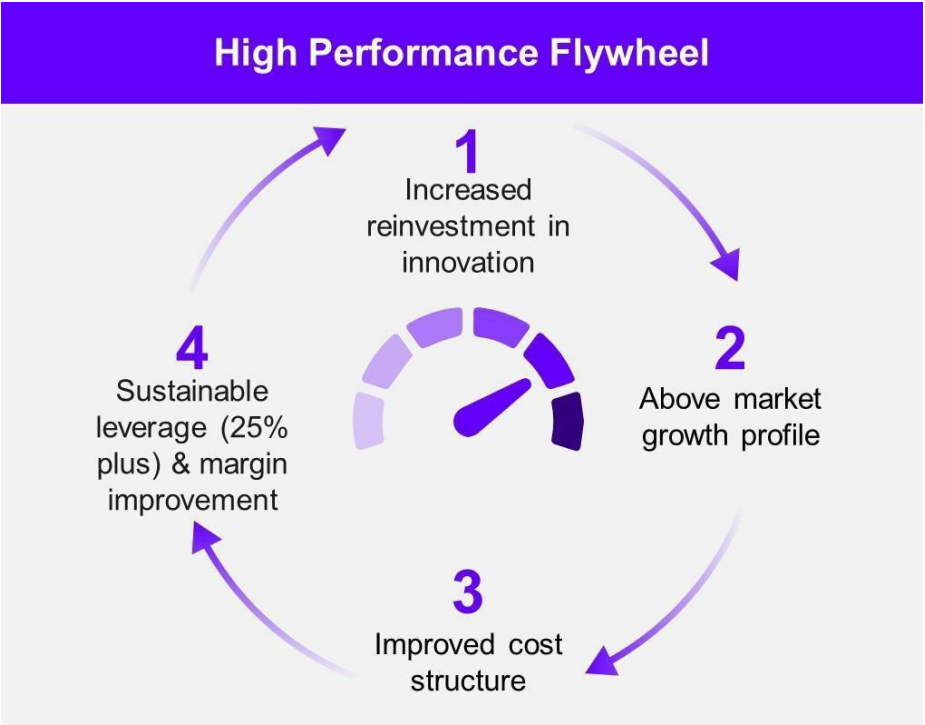
*See pg.20 for additional details



Delivered ~\$300M Total Transformation Savings from 2020 to 2023; Business Operating System Driving Strong Productivity / Cost Savings



- Delivered incremental savings of ~\$60M in 2023 as expected
- ~\$300M transformation savings adds fuel to high performance flywheel



* Expenses Related to Achieving Cost Reductions; ~\$1M in Q4 '23; ~\$134M cumulative 2020, 2021, 2022 and 2023.

Strong FCF Drives Continued Balanced Capital Deployment Strategy

1

Invest for Growth

- Strengthen the core business and extend product & market leadership
- Invest in new technology and innovation
- Strategic investments in value-accretive M&A

2

Maintain Healthy, Efficient Balance Sheet

- Expect to deliver FCF* $\geq$ 100% of adjusted net earnings
- Strengthening balance sheet
- Strong Baa1/BBB+ investment grade rating offers optionality as markets evolve

3

Return Capital to Shareholders

- Expect to consistently deploy 100% of excess cash over time
- Pay competitive dividend and grow dividend at or above rate of earnings growth over time
- Repurchase shares with excess cash when intrinsic value provides high returns

* Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations.

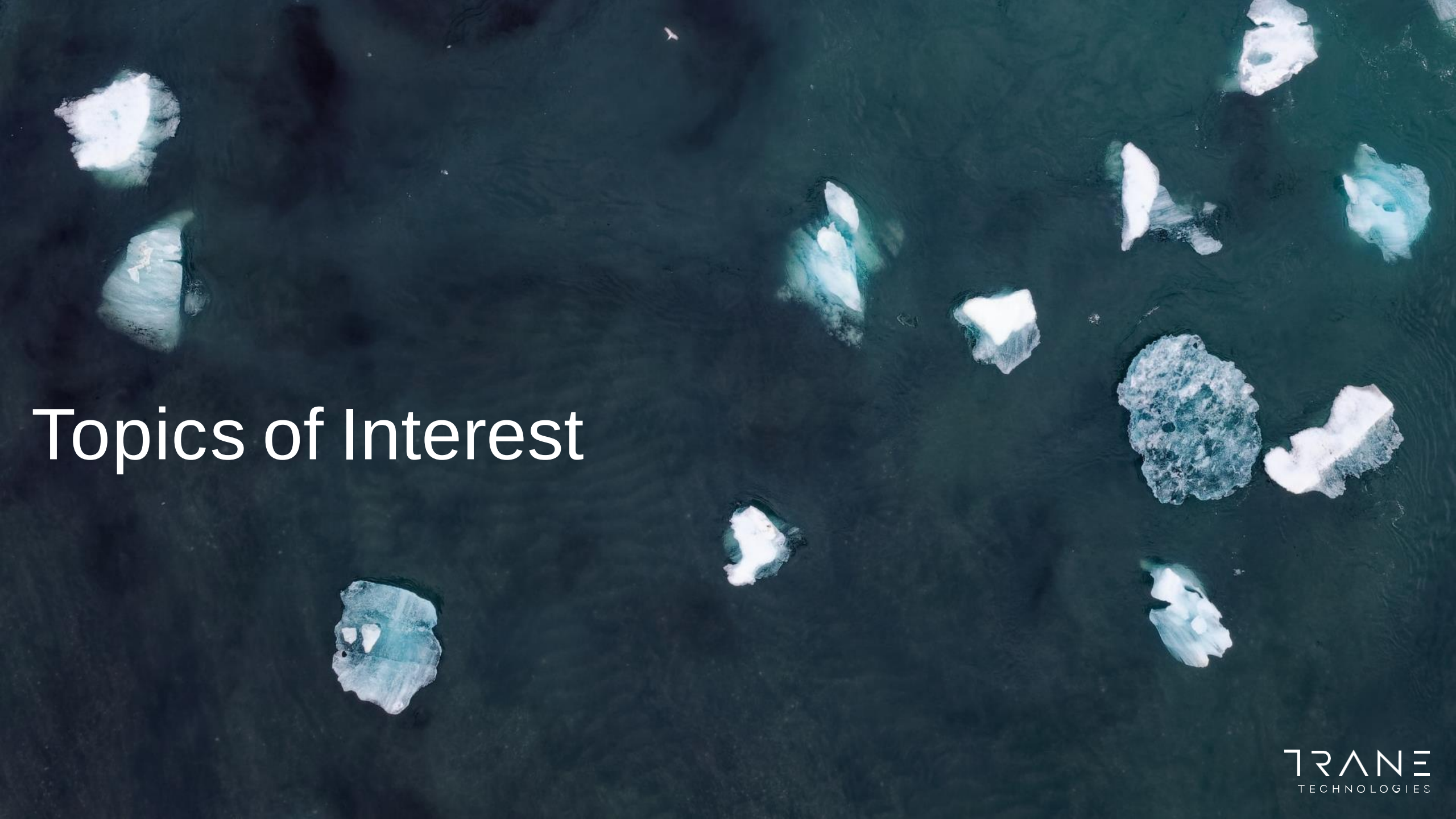
\$2.4B Capital Deployed in 2023 Including Targeted M&A Across Key Markets and Verticals. Expect to Deploy ~\$2.5B in 2024

Balanced Capital Deployment

	Actual 2023	Target FY 2024
Dividends	\$684M	~\$0.7B
M&A, investments	\$895M	~\$1.8B
Share repurchases (inc. Jan '24)	\$750M	
Total Capital Deployed/Committed	~\$2.4B*	~\$2.5B

- Increased dividend 12% in 2023
- Share repurchases of \$750M (inc. activity from Jan 2024); ~\$2.45B remaining authorization
- Deployed ~\$900M to M&A in 2023:
 - Nuvolet augments energy services, digital solutions. Closed in Q4.
 - Industrial process cooling in EMEA and Americas.
 - Precision temperature control cooling technology in Americas.
- M&A pipeline remains active
- Shares remain attractive, trading below our calculated intrinsic value

* Includes debt retirement of \$46M



Topics of Interest

TK Multi-Year Outperformance ~+30% Globally; Expect Continued Outperformance in 2024

N.A. and EMEA Market Results / Forecast

2023 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg
-MSD
(Actual TK -LSD)

2024 Transport N.A.
Market Outlook*
Trailer / Truck / APU wtd avg
-12%

2023 Transport EMEA
Market Outlook**
Trailer / Truck wtd avg
-MSD
(Actual TK +LSD)

2024 Transport EMEA
Market Outlook**
Trailer / Truck wtd avg
-MSD

Source: ACT / IHS / Company Estimates

Weighted Avg Mkt Forecast / TK Revenue

- Americas 2024 Transport weighted average market forecast down -10%
- EMEA 2024 Transport weighted average market forecast down LSD
- Trailer/Truck/APU: ~2/3rd of Total Transport Revenue
- Marine/Bus/Rail/Air/Aftermarket (“all other”): ~1/3rd of Total Transport Revenue
- Global Thermo King is ~15% of enterprise revenues. Americas / EMEA / Asia represent ~60% / ~35% / ~5% of global Thermo King revenues, respectively

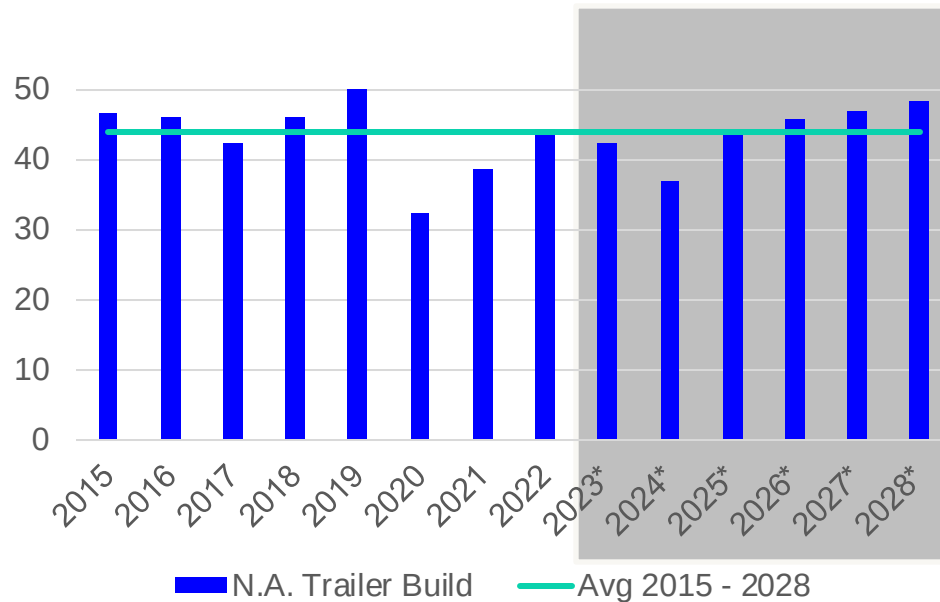
Total Transport market weighted avg growth***

2021-2022				2023			3-yr outperformance
	market	TK	Delta	market	TK	Delta	Delta
Americas	27%	50% plus	~+25%	-5%	-LSD	+LSD	~+ High Twenties %
EMEA	4%	high 20s	~+25%	-5%	+LSD	+HSD	~+ Low Thirties %

*Includes 2023 N.A. ACT Trailer build Jan fcst
** Reflects removal of Russia from EMEA Mkt Sizing
***Includes Truck/Trailer/APU/Marine/Bus/Rail/Air

ACT Projects North America Refrigerated Trailer Market to Dip in 2024 then Remain Robust 2025 through 2028 (above 40k units)

ACT North America Trailer Market Outlook



* Forecast shown in grey
Source: ACT Jan Forecast

Comments

- ACT 2024 North America Trailer forecast at 37k units
- Underlying refrigerated trailer demand remains high, average ~44k units per year
- Strong demand forecast 2025 - 2028
- Diversified Americas / EMEA Thermo King businesses poised to outperform end markets through continued innovation / execution

IN SUMMARY

Positioned to Outperform Over the Long-Term

Secular Tailwinds

The markets we serve will continue to outgrow GDP, fueled by long-term sustainability megatrends

Sustainability Focused Innovation

We are positioned to outgrow the market and expand margins with market-leading sustainable innovations

Margin Expansion

Our execution excellence and transformational work position us to maximize margins and cash generation

Financial Strength

Our strong balance sheet, exceptional cash generation and balanced capital allocation strategy deliver significant value to shareholders



Appendix

FY'24 Detailed Guidance for Modeling Purposes

Metric	FY Guidance	2024 Commentary
Organic Revenue*	+6% to +7%	25%+ organic leverage for FY'24
M&A	~+1%	~1pt M&A = year one contribution of negative \$30M OI, primarily related to technology acq, Nuvolo, with accelerated intangibles amortization of ~\$6M/qtr plus year one acquisition and integration related costs. Expect acq to be EPS accretive by year 3.
Reported Revenue	+7% to +8%	Other Items 1Q'24: expect ~+7% organic revenue growth, Adj. EPS \$1.60 to \$1.65, ~25%+ organic leverage. Expect +2pts M&A (+9% reported revenue growth) FY'24 Other Items: ~\$275M corporate costs – Continued high level of enterprise-wide investments - Continued above average incremental high ROI investment (normal range ~40 bps year) including digital, factory automation, sales force excellence, service business excellence, product innovation ~\$237M interest expense ~20% adj. effective tax rate ~228M diluted shares - Expect CapEx at high end of 1% to 2% of revenues in 2024 - Including estimated 2024 pension expense of ~\$20M, \$5M/QTR in other income / expense line item. Other items in other inc. / exp. such as FX impacts are unknown / not forecast-able ~\$30M Non-GAAP headwind to Adj. Earnings from Cont. Ops. (~\$0.10 exc. from adj. EPS)*
FX	Neutral to FY	
Adj. EPS*	\$10.00 to \$10.30 (+11% to +14%)	

*Includes certain Non-GAAP financial measures. See the company's Q4 2023 earnings release for additional details and reconciliations.

Trane Technologies Core Sustainability Strategy: Challenge Possible

Global Megatrends



CLIMATE CHANGE



DEMOGRAPHICS



URBANIZATION



DIGITAL CONNECTEDNESS



RESOURCE SCARCITY



INDOOR AIR QUALITY (IAQ)

Our 2030 Commitments

The Gigaton Challenge

Reducing one gigaton of carbon emissions (CO₂e) from our customers' footprint

Leading by Example

Achieving carbon neutral operations, 10% absolute energy reduction, zero waste to landfill and net positive water

Opportunity for All

Creating workforce diversity that mirrors our communities, investing in STEM education

Material Issues to Focus Our Efforts

Operations

Emissions intensity
Renewable energy
Water usage
Heating electrified

Products and Services

Energy efficiency
Low-emission products
Technology & innovation
Emerging market innovations
Product life cycle

Supply Chain

Responsible sourcing
Supplier diversity

Employees

Diversity and inclusion
Ethics and integrity
Safety
Development
Engagement

Communities

Access to cooling
Food and wellness
Education
Workforce development

Governance

Board oversight
Financial performance
Public policy

Targets Align with Global Priorities



2 Zero Hunger



4 Quality Education



5 Gender Equality



6 Clean Water & Sanitation



7 Affordable & Clean Energy



8 Decent Work & Economic Growth



9 Industry, Innovation & Infrastructure



11 Sustainable Cities & Communities



12 Responsible Consumption & Production

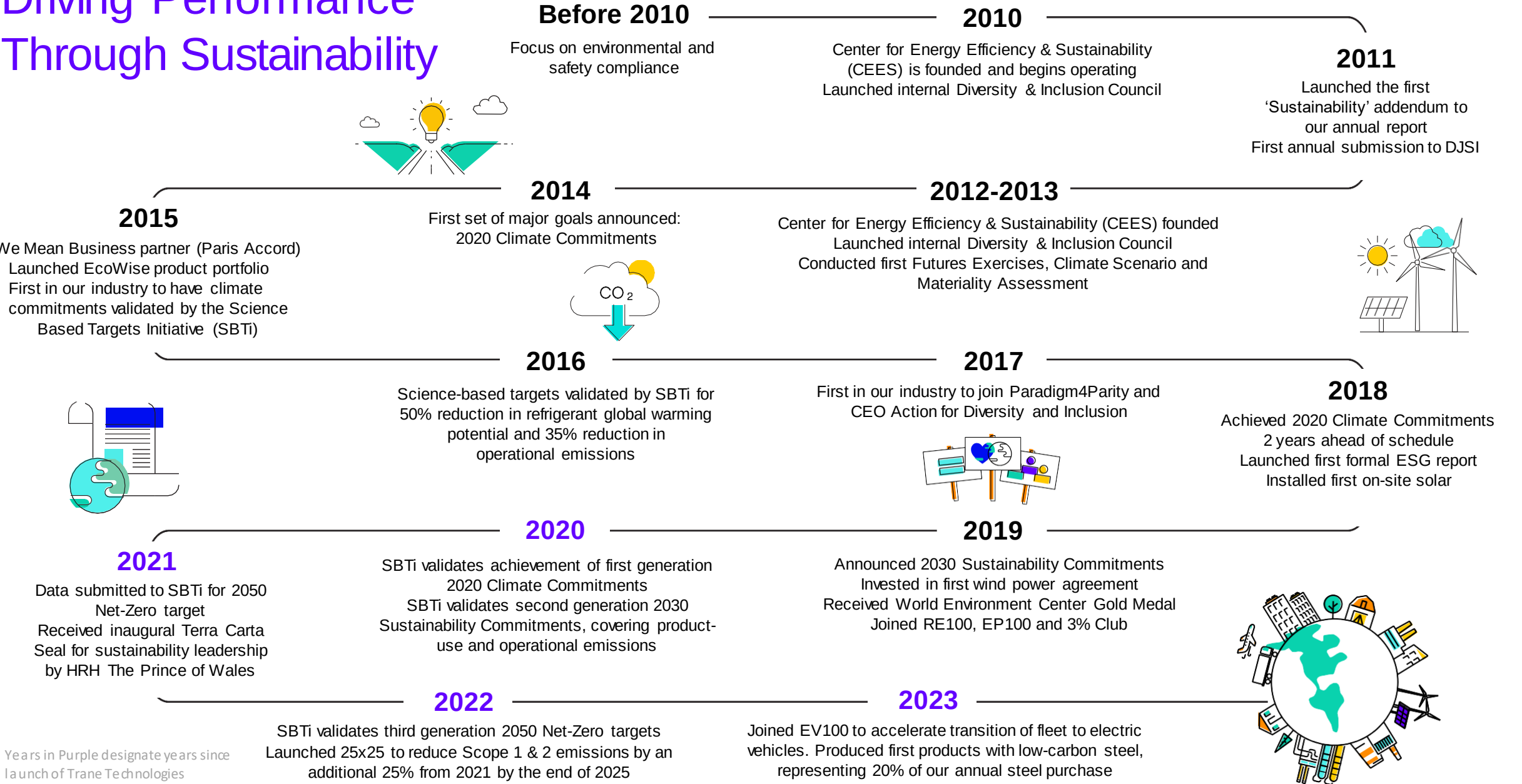


13 Climate Action



We believe in ambitious goals founded in science.
Trane Technologies is 1st in industry to be 2050 Net-Zero Approved by the Science-Based Targets Initiative (SBTi)

Driving Performance Through Sustainability



Years in Purple designate years since launch of Trane Technologies

Widely Recognized for Sustainability, Citizenship, Diversity, Inclusion & Engagement

Highly Regarded ESG Performance



13 Consecutive Years on the North America Index
3 consecutive years on the World Index



2023 JUST 100: Ranked 18th
2nd consecutive year JUST 100 Listing; Industry Leader



Named to A List
One of 299 companies named to A List



97th Percentile
72/100; Gold Rating



73% percentile
in the industrial industry



3rd Consecutive Year
Recognized for reducing GHG emissions in our operations



Recognized in the inaugural edition
Ranks companies according to sustainability, revenue growth and employee satisfaction



Corporate Knights' 2024 Global 100
Ranked 23rd overall, leader in Building Products industry

People and Citizenship



World's Most Admired Companies
11 consecutive years



Best Workplaces for Women
First appearance on this list, ranked 39th overall



Best Workplaces for Innovators
Also named to Fast Company's World Changing Ideas 2023 list



Certified in 2023
For one year through rigorous, data-based model and employee survey

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Q4 Organic Revenues up 6% Y-O-Y; Bookings Up 12%

Organic* Revenue	2020					2021					2022					2023				
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY
Americas	-2%	-13%	+2%	+1%	-3%	+9%	+19%	+4%	+14%	+11%	+13%	+13%	+19%	+14%	+15%	+8%	+9%	+11%	+7%	+9%
EMEA	-3%	-15%	-6%	-6%	-8%	+12%	+28%	+8%	+5%	+13%	+6%	+11%	+18%	+23%	+15%	+15%	+8%	+3%	+8%	+8%
Asia Pacific	-34%	-5%	-2%	-6%	-11%	+34%	+2%	+1%	+4%	+7%	+14%	-12%	+28%	+19%	+12%	+8%	+41%	-1%	flat	+10%
Total	-5%	-13%	+50 bps	-1%	-5%	+11%	+18%	+4%	+11%	+11%	+12%	+11%	+19%	+16%	+15%	+9%	+11%	+9%	+6%	+9%

Organic* Bookings	2020					2021					2022					2023				
	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY	Q1	Q2	Q3	Q4	FY
Americas	+11%	-5%	+8%	+2%	+4%	+36%	+29%	+20%	+31%	+29%	+6%	+10%	+11%	flat	+7%	-4%	-8%	+7%	+13%	+2%
EMEA	-2%	-20%	+6%	+9%	-3%	+18%	+53%	+25%	+13%	+27%	flat	-12%	-10%	+2%	-5%	+10%	+14%	+12%	+10%	+11%
Asia Pacific	-17%	-2%	-5%	+2%	-6%	+14%	+12%	+11%	+18%	+14%	+14%	+16%	+3%	-6%	+7%	+13%	+6%	+12%	+2%	+8%
Total	+6%	-7%	+7%	+3%	+2%	+31%	+30%	+20%	+27%	+27%	+6%	+7%	+8%	flat	+5%	-1%	-5%	+8%	+12%	+3%

*Organic revenues and bookings exclude acquisitions and currency

Q4 Year-to-Date Non-GAAP Measures Definitions

Adjusted operating income in 2023 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, merger and acquisition related costs, non-cash adjustment for contingent consideration and an insurance settlement on a property claim. Adjusted operating income in 2022 is defined as GAAP operating income adjusted for restructuring costs, transformation costs, merger and acquisition related costs, non-cash adjustments for contingent consideration, a settlement charge for a compensation related payment to a retired executive, and an insurance settlement on a property claim. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2, 3 and 4 of the news release.

Adjusted operating margin is defined as the ratio of adjusted operating income divided by net revenues.

Adjusted earnings from continuing operations attributable to Trane Technologies plc (Adjusted net earnings) in 2023 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for an impairment of an equity investment and the net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, an insurance settlement on a property claim and a Brazil valuation allowance. Adjusted net earnings in 2022 is defined as GAAP earnings from continuing operations attributable to Trane Technologies plc adjusted for net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, a settlement charge for a retired executive, an insurance settlement on a property claim and a U.S. discrete non-cash tax adjustment. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted continuing EPS in 2023 is defined as GAAP continuing EPS adjusted for an impairment of an equity investment and the net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, an insurance settlement on a property claim and a Brazil valuation allowance. Adjusted continuing EPS in 2022 is defined as GAAP continuing EPS adjusted for net of tax impacts of restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, a settlement charge for a retired executive, an insurance settlement on a property claim and a U.S. discrete non-cash tax adjustment. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 2 and 3 of the news release.

Adjusted EBITDA in 2023 is defined as adjusted operating income adjusted for depreciation and amortization expense, and other income / (expense), net, and an impairment of an equity investment. Adjusted EBITDA in 2022 is defined as adjusted operating income adjusted for depreciation and amortization expense, other income / (expense), net, and a settlement charge for a retired executive. Please refer to the reconciliation of GAAP to non-GAAP measures on tables 4 and 5 of the news release.

Adjusted EBITDA margin is defined as the ratio of adjusted EBITDA divided by net revenues.

Q4 Year-to-Date Non-GAAP Measures Definitions

Adjusted effective tax rate for 2023 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, an insurance settlement on a property claim and a Brazil valuation allowance divided by adjusted net earnings. Adjusted effective tax rate for 2022 is defined as the ratio of income tax expense adjusted for the net tax effect of adjustments for restructuring costs, transformation costs, merger and acquisition related costs, a non-cash adjustment for contingent consideration, settlement charge for a retired executive, an insurance settlement on a property claim and a U.S. discrete non-cash tax adjustment divided by adjusted net earnings. This measure allows for a direct comparison of the effective tax rate between periods.

Free cash flow in 2023 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs and merger and acquisition related costs, and an insurance settlement on a property claim. Free cash flow in 2022 is defined as net cash provided by (used in) continuing operating activities adjusted for capital expenditures, cash payments for restructuring costs, transformation costs, the continuing operations component of the qualified settlement fund (QSF) funding, a payout for a retired executive, and an insurance settlement on a property claim. Please refer to the free cash flow reconciliation on table 10 of the news release.

- **Free cash flow conversion** is defined as the ratio of free cash flow divided by adjusted net earnings.

Operating leverage is defined as the ratio of the change in adjusted operating income for the current period (e.g. Q4 2023) less the prior period (e.g. Q4 2022), divided by the change in net revenues for the current period less the prior period.

Organic revenue is defined as GAAP net revenues adjusted for the impact of currency, acquisitions and divestitures.

Organic bookings is defined as reported orders in the current period adjusted for the impact of currency, acquisitions and divestitures.

Working capital measures a firm's operating liquidity position and its overall effectiveness in managing the enterprise's current accounts.

- **Working capital** is calculated by adding net accounts and notes receivables and inventories and subtracting total current liabilities that exclude short-term debt, dividend payables and income tax payables.
- **Working capital as a percent of revenue** is calculated by dividing the working capital balance (e.g. as of December 31) by the annualized revenue for the period (e.g. reported revenues for the three months ended December 31 multiplied by 4 to annualize for a full year).